

New Project Plan - Indian Equity Engine

Zerodha, delivery + intraday, no futures, rare options, blue chips. 8 Oct 2026.

A new, separate project: an Indian equity swing + intraday engine on Zerodha (Kite Connect). Equity delivery and intraday only. NO futures. Options rarely, only around major events. Blue-chip / Nifty-50 universe. This is a patience game, not a daily-income machine.

Leverage: design for the SEBI 5x intraday cap (20% margin), not 11x. Delivery (CNC) is 1x - full cash, no leverage. Intraday (MIS) gets up to 5x on margin. No overnight short in cash equity; intraday positions auto-square-off ~15:20 IST.

1. Constraints & ground rules

- Instruments: equity delivery (CNC) + intraday (MIS). No futures. Options only for major events.
- Universe: Nifty-50 / large-cap blue chips (liquid, tight spreads, hard to manipulate).
- Broker: Zerodha via Kite Connect API (paid). Paper-first, real money only after the go-live gate.
- Timeframe: daily bars for swing; intraday uses 5m/15m within 09:15-15:30 IST.
- Risk: 0.5-1% per trade to start (smaller than crypto - equities gap on news/results).
- Non-negotiable: paper/POC only until an explicit go-live gate is passed. No real orders by default.

2. Indian market specifics to bake in

Item	Value / rule
Hours	09:15-15:30 IST, Mon-Fri (plus NSE/BSE holidays)
Settlement	T+1 (shares/cash settle next day)
STT	0.1% delivery (both sides) / 0.025% intraday-sell
Stamp duty	0.015% on buy
Exchange txn	~0.00345% (NSE)
GST	18% on brokerage + txn charges
SEBI charge	Rs10 / crore
DP charge	Rs15.93 / scrip on delivery SELL
Zerodha brokerage	Rs0 delivery / Rs20 (or 0.03%) per intraday order
Intraday square-off	auto ~15:20 IST if not closed

3. Knowledge carried over from the crypto project

- 1. Ledger-first accounting: every trade, fee and sweep in an append-only ledger.
- 2. In-sample vs out-of-sample discipline: never trust a backtest alone.
- 3. Null tests + cluster t-stats + walk-forward before believing any edge.
- 4. Cost model first: realistic STT/stamp/GST/DP netted into every R.
- 5. Risk caps enforced in code (per-trade, per-side, daily-loss kill switch).
- 6. Position reconciliation loop: broker positions vs book, alert on drift.
- 7. Tests + CI gate before any deploy; never push red.
- 8. No secrets in git; keys in env / a secrets store.
- 9. Dashboard + watchdog so the monitor survives network lag.

- 10. AI gate is optional and must PROVE lift before it touches trades (it failed in crypto).

4. Phases (start at Phase 0; await go-ahead each step)

Phase	Goal	Key deliverables	Exit criteria
0 - Foundation	Zerodha + data + repo	Kite Connect app + token flow; NSE daily-bar data lake (Nifty-50, 5-10y); Indian cost model module; repo skeleton w/ tests+CI; ledger schema	can pull clean daily bars; cost model unit-tested; CI green
1 - Lab port	backtest engine on NSE	port simulate/metrics/wallet; daily-bar swing strategies (trend, breakout, pullback); null + walk-forward + cluster stats	an edge with CI excluding zero, or an honest 'no edge' report
2 - Paper engine	market-hours forward test	live paper book on NSE hours; entry/exit engine; dashboard + watchdog; forward ledger	60+ paper trades logged, accounting reconciles
3 - Execution spine	order plumbing (still paper)	Kite order placement in sandbox/paper; position reconciliation; risk watchdog; kill switch	paper orders fill + reconcile cleanly for 2+ weeks
4 - Go-live gate	decide real money	3 months / 60+ trades forward record; CA tax opinion (business income + audit); min-size real plan	explicit YES from owner; start min size
5 - Scale (optional)	grow carefully	size up only on proven edge; consider rare event options with strict IV rules	only after Phase 4 passes

5. Honest cautions

- Options buying around events suffers IV crush - the move can be right and the option still loses.
- Equities gap on results/news; a stop is not a guarantee. Size down vs crypto.
- Daily-bar swing means weeks-long holds - this is the patience the user asked for.
- No edge is assumed. Phase 1 must PROVE it on NSE data before any money is discussed.